

Term Insurance FAQ

Detailed FAQ — Tax Benefits, Health & Medical, and NRI Term Insurance

Included sections: Tax Benefits; Health & Medical Questions; NRI Term Insurance

Source: Policybazaar, "Term Life Insurance FAQ Guide", accessed from the page supplied by the user. The page currently lists 99 questions and was last updated August 2026. The answers below are detailed paraphrases retaining the substance and explanatory context of the source rather than shortened summaries or verbatim copies.

1. Tax Benefits

Q: Is term insurance tax deductible?

A: Yes. The Policybazaar FAQ states that premiums paid for term life insurance can qualify for tax deductions under applicable provisions of the Income Tax Act, including Sections 80C and 80D, subject to the conditions of the relevant provision and tax regime. The availability and amount of a deduction depend on the taxpayer's circumstances and the applicable rules. Tax treatment can change, so the current provisions should be checked before claiming a deduction.

Q: What tax benefits are available under Section 80C?

A: Section 80C can allow eligible taxpayers to claim a deduction for qualifying life-insurance premiums, subject to the overall Section 80C limit and the applicable conditions. The Policybazaar FAQ states a maximum deduction of **₹1.5** lakh per financial year and notes that this benefit is available under the old tax regime. The deduction is not an additional **₹1.5** lakh exclusively for term insurance; it is part of the overall Section 80C limit that covers eligible investments and payments. The exact eligibility should be verified for the relevant financial year.

Q: Is the death benefit taxable?

A: The Policybazaar FAQ states that the death benefit received from a life-insurance policy is generally not taxable for the nominee or beneficiary, subject to the applicable provisions of the Income Tax Act. Section 10(10D) contains the principal exemption framework for qualifying life-insurance proceeds. The tax treatment can depend on the nature of the policy and the applicable statutory conditions, so the policyholder or nominee should check the current law when a claim is received.

Q: Are rider premiums eligible for tax benefits?

A: Rider premiums may qualify for tax benefits depending on the type of rider and the applicable provision. The Policybazaar FAQ explains that different riders can fall under different sections of the Income Tax Act. For example, an accidental-death benefit rider may be considered under provisions associated with life-insurance premiums, while certain health-related or critical-illness benefits may fall under provisions such as Section 80D, subject to the conditions of that section. The precise tax treatment should be checked based on the rider and the taxpayer's circumstances.

Q: What are the tax benefits under Section 80D?

A: Section 80D provides deductions for eligible health-insurance premiums and certain preventive-health-check-up expenses paid by individuals and Hindu Undivided Families, subject to statutory conditions and limits. The Policybazaar FAQ states that the maximum cumulative deduction can be up to **₹1,00,000** per financial year depending on the age of the insured family members. Section 80D is primarily associated with health-insurance-related deductions rather than ordinary pure-term-insurance premiums, so the relevant product and payment should be checked before claiming the deduction.

2. Health & Medical Questions

Q: Is a medical test mandatory for term insurance?

A: No, a medical test is not mandatory for every term-insurance applicant. Whether medical examinations are required depends on factors such as the applicant's age, requested sum assured, health information and the insurer's underwriting rules. Many insurers offer products or application pathways where medical examinations are not required for certain applicants. However, a no-medical-exam option can have conditions, eligibility criteria and coverage limits. If the insurer requires a medical examination, completing it honestly is important for accurate underwriting.

Q: Can I buy term insurance without a medical test?

A: Yes. The Policybazaar FAQ states that some insurers offer 'no medical exam' or simplified-issue term insurance policies. In such cases, the insurer may rely more heavily on the applicant's health declaration and information supplied in the proposal form rather than a physical medical screening. These plans are not necessarily available to every applicant or for every amount of coverage. Age, health history, sum assured and other underwriting factors can determine whether a medical examination is required.

Q: Can diabetics buy term insurance?

A: Yes. People with diabetes can apply for term insurance. Diabetes is a medical condition that can lead to more detailed underwriting, and the insurer may assess the type of diabetes, duration, medication, blood-sugar control, complications and other health factors. The Policybazaar FAQ notes that insurers offer term insurance to people with both Type 1 and Type 2 diabetes. Depending on the medical risk assessment, the insurer may request medical tests, charge a higher premium or apply other underwriting terms.

Q: Can cancer survivors buy term insurance?

A: Yes, cancer survivors can potentially obtain term insurance, but eligibility depends heavily on the individual medical history and the insurer's underwriting assessment. The Policybazaar FAQ states that applications during active cancer treatment are generally more difficult, while some survivors may become eligible after a period of remission. The source mentions a possible remission period of around two to five years, depending on factors such as cancer type, stage and severity. The actual requirement varies by insurer and medical profile.

Q: Can heart patients buy term insurance?

A: Yes, people with a history of heart disease can apply for term insurance, but the application is normally subject to detailed medical underwriting. The insurer can evaluate the severity of the condition, age, previous procedures or treatment, current medication, recovery status and other medical factors. Medical examinations may be required, and the premium can be higher because the insurer may assess the applicant as having greater medical risk. Approval and terms ultimately depend on the insurer's underwriting decision.

Q: Can overweight individuals buy term insurance?

A: Yes. Being overweight does not automatically prevent someone from purchasing term insurance. However, insurers can consider body mass index (BMI) and related health conditions because higher BMI can be associated with conditions such as diabetes, hypertension and cardiovascular disease. The insurer may therefore request additional medical information or tests and may adjust the premium based on the overall health assessment. The underwriting decision is based on the individual's complete medical profile rather than weight alone.

Q: Can smokers get term insurance?

A: Yes. Smokers can purchase term insurance, but smoking is generally treated as a higher-risk factor by insurers. Because tobacco use is associated with increased risks of cardiovascular disease, respiratory illness and cancer, the premium for a smoker can be substantially higher than for a non-smoker. The insurer may also require medical tests depending on age, coverage and underwriting rules. Smoking status should always be disclosed accurately because misrepresentation can create problems during future claim assessment.

Q: Does family medical history affect term insurance approval?

A: Yes. Family medical history can be considered during term-insurance underwriting because certain medical conditions may have hereditary or familial risk factors. Insurers can ask about major illnesses in close family members, including conditions such as heart disease, cancer or diabetes. A significant family medical history may result in additional medical assessment, a higher premium or, depending on the insurer's risk assessment, a different underwriting decision. Applicants should provide complete and truthful information when answering medical-history questions.

3. NRI Term Insurance

Q: Can NRIs buy term insurance in India?

A: Yes. The Policybazaar FAQ states that Non-Resident Indians (NRIs) and Persons of Indian Origin (PIOs) can purchase term insurance in India, subject to applicable rules and insurer requirements. Indian term insurance can be used to provide financial protection for families and dependents, whether those dependents live in India or abroad. The purchase process can involve additional documentation relating to overseas residence, identity, income, tax status and medical underwriting. Applicants should check the insurer's NRI eligibility criteria and applicable FEMA requirements.

Q: Is Indian term insurance valid abroad?

A: Yes. The Policybazaar FAQ states that Indian term insurance can provide coverage even when the insured person is outside India. In other words, the insured does not generally lose the life cover simply because they live, work or travel abroad. However, the exact policy conditions and claim procedure still apply. If a death occurs outside India, the nominee may need to provide foreign death certificates, medical or investigation records and other documents in the format accepted by the insurer. The insurer's specific overseas-claim requirements should therefore be checked.

Q: Can NRIs complete medical tests overseas?

A: Yes. NRIs can generally complete required medical examinations in their country of residence rather than travelling to India solely for the medical tests. The Policybazaar FAQ states that routine health checks or mandatory examinations for an Indian life-insurance application can be completed overseas. The insurer may specify approved medical centres, required tests, reporting formats and authentication requirements. The exact process therefore depends on the insurer and the country where the NRI resides.

Q: How can NRIs pay term insurance premiums?

A: NRIs can pay term-insurance premiums from abroad through payment methods permitted by the insurer and applicable Indian regulations. The Policybazaar FAQ notes that the payment channel can have implications for matters such as tax treatment and the currency in which the family receives the eventual benefit. Depending on the policy and the NRI's banking status, payments may involve permitted NRE or NRO account arrangements or other approved channels. The insurer should be contacted for the exact payment method applicable to the chosen policy.

Q: What documents are required for NRI term insurance?

A: NRI applicants generally need documents that establish identity, Indian or overseas status, address, income and medical information. The Policybazaar FAQ lists documents such as a passport; visa or residency proof; OCI or PIO card where applicable; passport-size photographs; PAN card; foreign and Indian address proof; salary slips; Form 16; bank statements; Income Tax Returns; audited profit-and-loss statements and balance sheets for self-employed applicants; the proposal form; NRI questionnaire; medical reports; FATCA declaration; and ECS or bank-mandate documentation. The exact list can vary depending on the applicant's country of residence, employment status, insurer and policy.

Important: Tax rules, insurance products, medical underwriting, NRI eligibility and regulatory requirements can change. The FAQ is informational; for a purchase, tax filing or claim, verify the current policy wording and applicable official rules.